to the EU in 2020), the world's largest wheat exporter and a major supplier of grains and vegetable oils. Trade interruptions will mean higher prices for all these goods, further stoking food inflation. Prices are already at their highest in more than a decade because of the impact of the pandemic on supply chains.

The second aspect is the indirect consequences of the sanctions western nations have hit Russia with. A particularly punitive step is the US, EU, UK and Canada's decision to cut many Russian banks off from the SWIFT (Society for Worldwide Interbank Financial Telecommunication) international payments system, choking Russian trade. (In the past, this step has been taken against both Iran and North Korea.) By curtailing Russian access to global banking, western nations also severely limited its ability to deploy its $540 billion (Rs 40.9 lakh crore) of forex reserves to protect the rouble from market volatility. The effect was immediate—on February 28, the rouble lost 30 per cent of its value against the dollar. Russia has also been prevented from raising sovereign debt from western financial markets, and the shares of Russian state-owned companies can no longer be listed on EU stock exchanges.

The US has also put the top 10 Russian financial institutions—comprising about 80 per cent of its banking sector—under more restrictions. Sherbank and its subsidiaries, which account for about 30 per cent of the Russian banking system, can no longer transact through the US financial network. Several Russian banks have also had their assets frozen, including VTB, Bank Rossiya and Promsvyazbank, and sanctions have been placed on a large swathe of Russia's senior leadership, including Putin and his top aides. The US, Europe and Canada have also closed their airspace to Russian flights, a move reciprocated by the Russians. Economists say the uncertainty and trade disruptions will result in a fall in global demand and a further decline in consumer confidence. The severity of the impact will depend on how long the conflict lasts, and if it spreads beyond Ukraine.

THE IMPACT ON INDIA

The consequences for India will depend, again, on how prolonged the conflict will be. With forex reserves of $680 billion (Rs 51.5 lakh crore), experts say the country will be able to weather short-term external shocks fairly well, but a prolonged war will take a severe toll. The impact will be felt on a number of fronts, from fuel prices and overall inflation to trade interruption, turmoil in equity markets and a hit to growth.

BILATERAL TRADE WITH RUSSIA

In Apr.-Dec. 2021-22, India's bilateral trade with Russia stood at $9.4 billion (Rs 71,250 crore), up from $8.1 billion (Rs 61,400 crore) in the previous fiscal

IMPORTS

- Fuels (nearly **$2 billion** worth of crude oil)
- Precious and semi-precious stones
- Mineral oils (about **$826 million**)
- Boilers
- Nuclear reactors
- Agricultural products (including **$268 million** worth of sunflower seed oil)
- Machinery and mechanical appliances
- Coal (around **$956 million** in various categories)
- Pearls
- Electrical machinery and equipment
- Fertilisers

EXPORTS

- Electrical machinery and equipment **$407 million**
- Pharmaceutical products **$386 million**
- Nuclear reactor parts **$226 million**
- Organic chemicals **$185 million**
- Vehicles **$158 million**
- Iron and steel **$108 million**
- Seafood **$103 million**



BILATERAL TRADE WITH UKRAINE

In Apr.-Dec. 2021-22, India's bilateral trade with Ukraine stood at $2.3 billion (Rs 17,430 crore), down from $2.5 billion (Rs 18,950 crore) in the previous fiscal

IMPORTS

- Agricultural products, including **$1.35 billion** worth of sunflower seed oil)
- Metallurgical products
- Plastics and polymers

EXPORTS

- Pharmaceuticals **$110 million**
- Nuclear reactor parts **$22 million**
- Plastics **$21 million**
- Iron and steel **$20 million**
- Chemicals **$17 million**
- Rubber **$15 million**
- Electrical machinery **$14 million**

(Source: Department of Commerce, GOI)